Robinhood Markets, Inc.

HOOD NASDAQ

Hold	$90.20 ▼ 1.35%	12M Price Target	52-Week Range	Market Cap
		$95.00	$63.52 – $150.47	$81.22B

HOOD: Cooling Off After Run, Crypto Rules in Focus

WHAT HAPPENED

- HOOD drifted down another 1.3% today, making it 4 straight down days from $95 to $90 — nothing company-specific hit the tape, no filings, no news. This looks like profit-taking into earnings (they report next week) after a huge YTD run, especially since the broader market was GREEN today (Financials +1.3%, Healthcare +1.7%). When a stock fades on a strong tape, it's usually positioning — big funds trimming before a binary event.
- Volume dropped off a cliff today (11M vs 39M yesterday) — the selling pressure is easing, which often signals the pullback is maturing rather than accelerating.

WHY IT MATTERS

Here's what I think is really going on: options flow is screaming bullish (put/call of 0.35 — meaning 3x more call buyers than put buyers, betting on upside) with big unusual call buying at $93 and $96 strikes for November. That's smart money positioning for an earnings beat or a post-earnings pop. The stock drifting lower while calls get bought aggressively is a classic "shake out the weak hands before the catalyst" setup. The bigger picture: HOOD is now a crypto proxy as much as a brokerage, and with the Trump administration's pro-crypto stance plus the CLARITY Act making its way through Congress, Robinhood is one of the biggest regulatory beneficiaries if digital asset rules get finalized — but that optionality is already partly priced in at 9x sales.

POLICY & POLITICAL WATCH

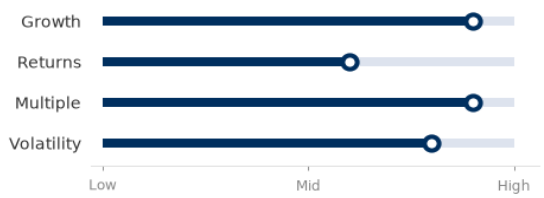
The big one to watch: the CLARITY Act (Digital Asset Market Clarity Act) — it passed the House in 2025 and the Senate has been working its version through fall 2026. If it becomes law, it gives crypto exchanges like Robinhood a clear regulatory home at the CFTC instead of the hostile SEC regime of the Gensler era — that's a direct multi-billion-dollar revenue unlock for HOOD's crypto business. Separately, the SEC under Atkins has been approving crypto ETFs and tokenized securities at a rapid clip, and HOOD's push into tokenized stocks (launched in EU, pending US) only works if that friendly posture holds. Headwind to watch: any Section 31 fee increases or renewed PFOF (payment for order flow — how HOOD makes money routing your trades to market makers) scrutiny from Democratic senators would hit the core business.

IS IT EXPENSIVE?

Key Data

Price (USD)	**$90.20**
12M Price Target	**$95.00**
Upside / (Downside)	**+5.3%**
Market Cap	**$81.22B**
FY2026E Revenue	**$4,100M**
FY2027E Revenue	**$5,050M**
FY2026E EPS	**$1.65**
FY2027E EPS	**$2.10**
Fwd P/E	**54.7x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

HOOD — Robinhood Markets, Inc. | October 29, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$102.00**	$92.00	**$80.00**
6 Months	**$125.00**	$100.00	**$72.00**
1 Year	**$150.00**	$110.00	**$65.00**
2 Years	**$200.00**	$135.00	**$55.00**
5 Years	**$320.00**	$180.00	**$45.00**
10 Years	**$500.00**	$250.00	**$40.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+1.8%) and Utilities (+1.4%) ripping suggests the market is sniffing more Fed cuts — rate-sensitive sectors always lead that trade. Healthcare also strong on reduced drug-pricing political overhang.

COOLING OFF: Consumer Staples down 2.3% on the week — classic risk-on rotation, money is leaving defensive names.

ROTATION WATCH: Money is flowing into rate-sensitive and risk-on sectors on dovish Fed expectations — that's technically good for HOOD (lower rates = more risk appetite = more trading) but it's being offset by pre-earnings positioning.

RELATED PLAY: If you believe the crypto regulation + retail trading thesis, COIN (Coinbase) is the purer bet and IBKR (Interactive Brokers) is the lower-beta brokerage play that benefits from the same tailwinds without the crypto volatility.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Direct crypto beneficiary of CLARITY Act optimism and record BTC prices — leading the digital asset complex.
- IBKR (Interactive Brokers): Benefiting from same retail trading boom with cleaner margins and less regulatory beta.

HOOD CONTEXT: HOOD had been LEADING the group most of 2026 (stock up massive from the lows) but is now lagging on this short pullback — that's normal mean reversion after outperformance, not a signal of fundamental weakness. If HOOD underperforms COIN meaningfully through earnings, that tells us the market is losing faith in the super-app pivot and treating it purely as a crypto proxy.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: $80-85 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Crypto volume collapse or CLARITY Act stalls indefinitely

Hedging: Pair with short on COIN or buy protective puts

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